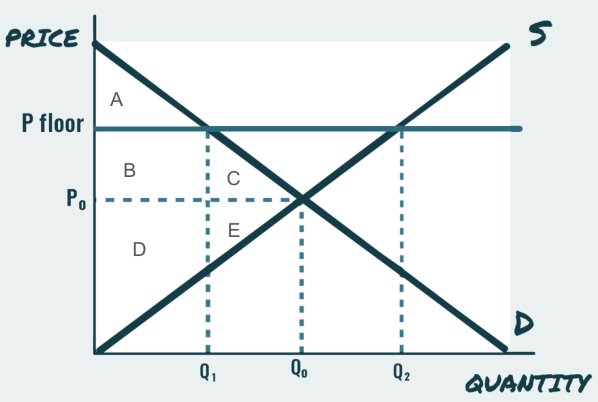
1. In which of the following settings, is it possible that a price ceiling might NOT lead to deadweight loss

a) In a perfectly competitive market with Rent Control
b) In a perfectly competitive market when the government limits price increases in emergencies
c) when there is a monopoly
d) In a perfectly competitive market with very low marginal cost
e) A price ceiling will always lead to deadweight loss

2. Imagine that demand is $Q^D=105-5P$ and supply is $Q^S=10P$, what is the deadweight loss if a price ceiling is implemented at $3 compared to perfect competition?

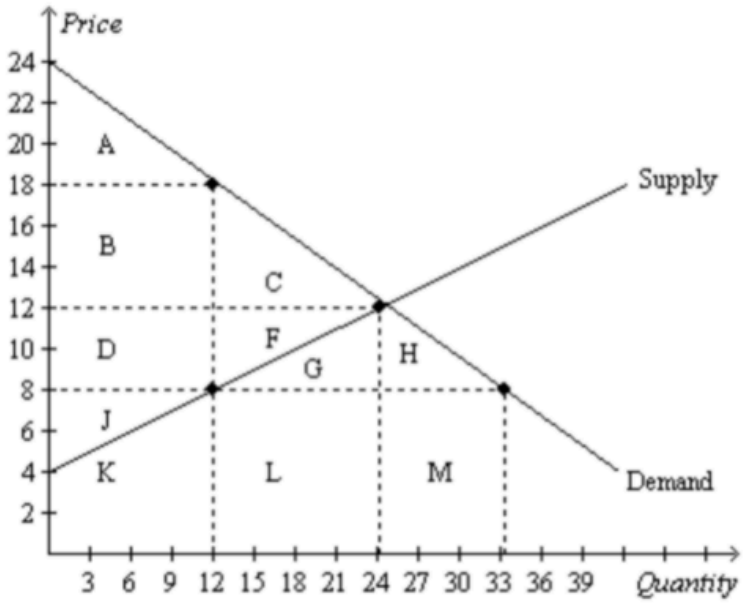
a) 0
b) 30
c) 60
d) 240
e) None of the above




3. Refer to the above figure, which area represents producer surplus after the price floor (assume the government does not buy the excess supply) (MARK ALL THE AREAS THAT ARE PART OF PRODUCER SURPLUS)?

a. A
b. B
c. C
d. D
e. E

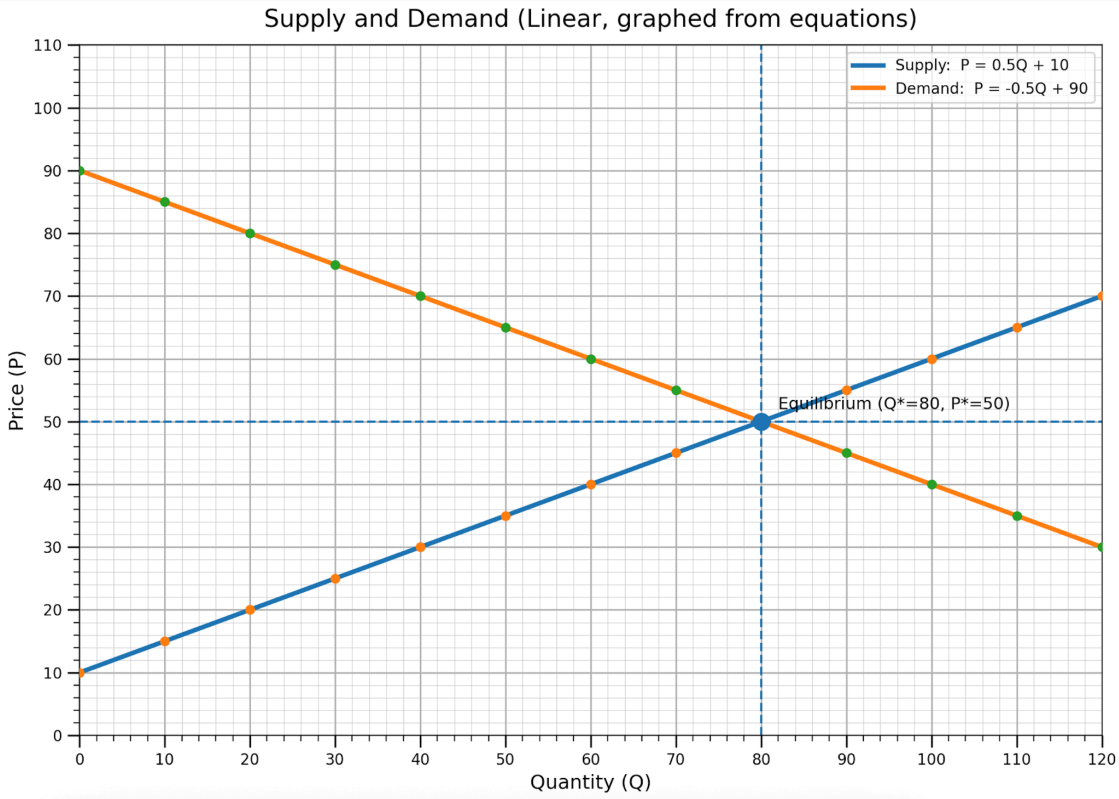
4. What is a possible second order effect of price ceilings (mark all that apply)
   a. The decline in quality of a good
   b. Underground markets
   c. Discrimination
   d. Bribery
   e. Long lines




Refer to the above graph for the following two questions.

5. What is consumer surplus at the equilibrium in perfect competition?
   a) 144
   b) 36
   c) 96
   d) 288
   e) None of the above

6. By how much would producer surplus change by with a price ceiling at $8?
   a) 96
   b) 72
   c) 48
   d) 24
   e) None of the above




Refer to the above graph.

7. Which is larger? The deadweight loss of a price ceiling at P=40 or the deadweight loss of a price floor at P=70

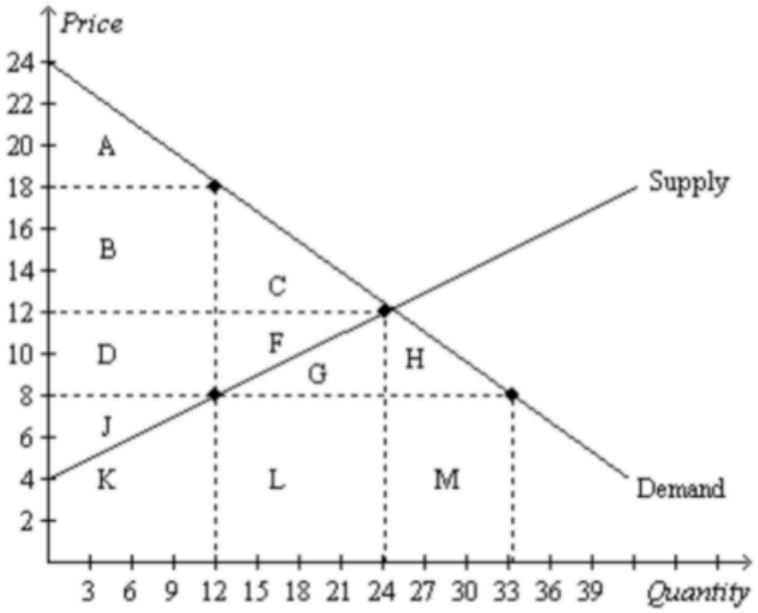
a) Price Ceiling
b) Price Floor
c) They are the same
d) Need more information

8. What are some unintended consequences of price controls covered in lecture (Mark all that apply)

a) Mexican Coke tasting better than American Coke
b) Dead chickens
c) Government Cheese
d) Luxurious air travel in the 1970s
e) Candy Factories leaving Ohio

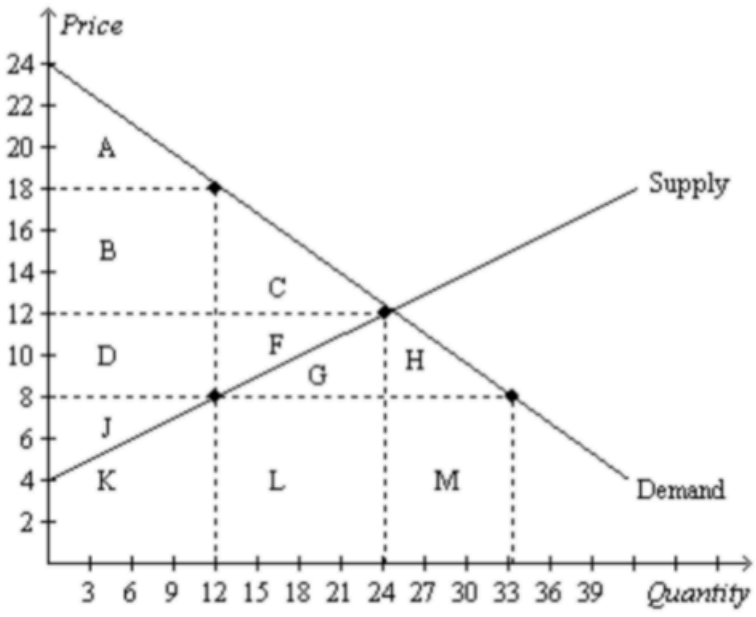
9. Which of the following would lead to a decrease in the price of electric bikes? (MARK ALL THAT APPLY)

a) An increase in the population.
b) Gasoline prices (a substitute for electric bikes) increase.
c) Lithium-ion batteries (an input for electric bikes) increase in price.
d) New government regulations make electric bikes easier to ride on city roads.
e) A price ceiling below the equilibrium price




10. Refer to the above graph. What would the deadweight loss be if a price floor of $18 was imposed on the market?

a) CF
b) ABD
c) DFJ
d) C
e) None of the above




11. Refer to the above graph. What would the deadweight loss be if a price floor of $8 was imposed on the market?

a) CF
b) ABD
c) DFJ
d) C
e) None of the above

12. What does deadweight loss in a price ceiling represent?

a. The decline in quality of a good
b. The value of lost transactions
c. The lost profits of inefficient producers
d. The lost wages of consumers from standing in line

13. The government implements a price floor above the equilibrium. The elasticity of demand is -4.0. What happens to producer's revenue?

a. It stays the same
b. It increases
c. It decreases
d. Need more information

14. Imagine that demand is $Q^D$=105-5P and supply is $Q^S$=10P, what is the deadweight loss if a price ceiling is implemented at $5 compared to perfect competition.

a) 20
b) 60
c) 100
d) 120
e) None of the above

15. Imagine that demand is $Q^D$=105-5P and supply is $Q^S$=10P. The government institutes a price ceiling at P=$5. What will be the result?

a) A surplus of 30 units
b) A shortage of 30 units
c) A shortage of 20 units
d) A surplus of 20 units
e) There will not be a shortage, nor a surplus

16. Which of the following was a price control 'example' covered in the lecture on price controls? Make sure you check that the right term "floor/ceiling" is used with the example. (MARK ALL THAT APPLY)

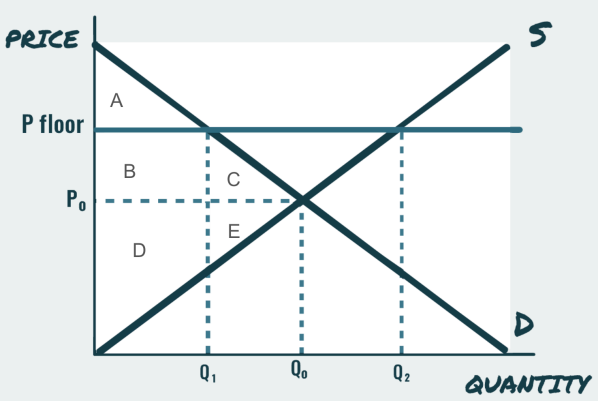
a) The price floor on milk that led to cheese caves
b) The price ceiling on airplane flights that led to pianos on planes
c) The price ceiling on Soviet cars that led to low quality cars
d) The price floor on chicken feed that led to dead baby chickens
e) The price floor on sugar that led to candy factories moving

17. In which of the following settings, is it possible that a price ceiling might NOT lead to deadweight loss

a) In a perfectly competitive market with Rent Control
b) In a perfectly competitive market when the government limits price increases in emergencies
c) when there is a monopoly
d) In a perfectly competitive market with very low marginal cost
e) A price ceiling will always lead to deadweight loss

18. Imagine that demand is $Q^D=105-5P$ and supply is $Q^S=10P$, what is the deadweight loss if a price ceiling is implemented at $5 compared to perfect competition?

a) 20
b) 60
c) 100
d) 120
e) None of the above




19. Refer to the above figure, the government implements a price floor above the equilibrium. The elasticity of demand is -2, the government agrees to buy up any excess supply, what happens to producer's revenue?

a. It stays the same
b. It increases
c. It decreases
d. Need more information

20. Imagine that demand is $Q^D=105-5P$ and supply is $Q^S=10P$. What is the deadweight loss if a price ceiling is implemented at $1 compared to perfect competition?

a) 0
b) 70
c) 105
d) 180
e) None of the above